

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

MANAGEMENT REPORT

Management's Responsibility for Financial Reporting

The accompanying financial statements have been prepared by Mackenzie Financial Corporation, as Manager of Mackenzie Canadian Short-Term Bond Index ETF (the "ETF"). The Manager is responsible for the integrity, objectivity and reliability of the data presented. This responsibility includes selecting appropriate accounting principles and making judgments and estimates consistent with IFRS Accounting Standards. The Manager is also responsible for the development of internal controls over the financial reporting process, which are designed to provide reasonable assurance that relevant and reliable financial information is produced.

The Board of Directors (the "Board") of Mackenzie Financial Corporation is responsible for reviewing and approving the financial statements and overseeing the Manager's performance of its financial reporting responsibilities. The Board meets regularly with the Manager, internal auditors and external auditors to discuss internal controls over the financial reporting process, auditing matters and financial reporting issues.

KPMG LLP is the external auditor of the ETF. It is appointed by the Board. The external auditor has audited the financial statements in accordance with Canadian generally accepted auditing standards to enable it to express to the unitholders its opinion on the financial statements. Its report is set out below.

On behalf of Mackenzie Financial Corporation,
Manager of the ETF

Signed "Luke Gould"

Luke Gould
President and Chief Executive Officer
Mackenzie Financial Corporation
June 4, 2026

Signed "Terry Rountes"

Terry Rountes
Chief Financial Officer, Funds
Mackenzie Financial Corporation

INDEPENDENT AUDITOR'S REPORT

To the Unitholders of Mackenzie Canadian Short-Term Bond Index ETF (the "ETF")

Opinion

We have audited the financial statements of the ETF, which comprise:

- the statements of financial position as at March 31, 2026 and March 31, 2025
- the statements of comprehensive income for the periods then ended as indicated in note 1
- the statements of changes in financial position for the periods then ended as indicated in note 1
- the statements of cash flows for the periods then ended as indicated in note 1
- and notes to the financial statements, including a summary of material accounting policies (Hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the ETF as at March 31, 2026 and March 31, 2025, and its financial performance and its cash flows for the periods then ended as indicated in note 1 in accordance with IFRS Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our auditor's report.

We are independent of the ETF in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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INDEPENDENT AUDITOR'S REPORT (cont'd)

Other Information

Management is responsible for the other information. Other information comprises:

- the information included in the Annual Management Report of Fund Performance of the ETF.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit and remain alert for indications that the other information appears to be materially misstated.

We obtained the information included in the Annual Management Report of Fund Performance of the ETF as at the date of this auditor's report. If, based on the work we have performed on this other information, we conclude that there is a material misstatement of this other information, we are required to report that fact in the auditor's report.

We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the ETF's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the ETF or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the ETF.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the ETF's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ETF's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the ETF to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- Provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



Chartered Professional Accountants, Licensed Public Accountants
The engagement partner on the audit resulting in this auditor's report is Jacob Smolack.
Toronto, Canada
June 4, 2026

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

STATEMENTS OF FINANCIAL POSITION

at March 31 (in \$ 000 except per unit amounts)

	2026 \$	2025 \$
ASSETS		
Current assets		
Investments at fair value	51,565	37,703
Cash and cash equivalents	–	181
Accrued interest receivable	358	277
Accounts receivable for investments sold	2,702	165
Accounts receivable for units issued	–	–
Due from manager	6	6
Margin on derivatives	80	79
Derivative assets	–	2
Total assets	54,711	38,413
LIABILITIES		
Current liabilities		
Bank indebtedness	294	–
Accounts payable for investments purchased	2,592	299
Accounts payable for units redeemed	–	–
Due to manager	4	3
Derivative liabilities	9	–
Total liabilities	2,899	302
Net assets attributable to unitholders	51,812	38,111

	Net assets attributable to unitholders (note 3)			
	per unit		per series	
	2026	2025	2026	2025
CAD Units	99.64	100.29	51,812	38,111

STATEMENTS OF COMPREHENSIVE INCOME

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Income		
Interest income for distribution purposes	1,435	1,127
Other changes in fair value of investments and other net assets		
Net realized gain (loss)	336	283
Net unrealized gain (loss)	(714)	1,080
Securities lending income	6	6
Other	2	2
Total income (loss)	1,065	2,498
Expenses (note 6)		
Management fees	41	32
Management fee rebates	(15)	(16)
Interest charges	–	1
Independent Review Committee fees	–	–
Expenses before amounts absorbed by Manager	26	17
Expenses absorbed by Manager	–	–
Net expenses	26	17
Increase (decrease) in net assets attributable to unitholders from operations before tax	1,039	2,481
Foreign withholding tax expense (recovery)	–	–
Foreign income tax expense (recovery)	–	–
Increase (decrease) in net assets attributable to unitholders from operations	1,039	2,481

The accompanying notes are an integral part of these financial statements.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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STATEMENTS OF CHANGES IN FINANCIAL POSITION

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Net assets attributable to unitholders		
Beginning of period	38,111	34,841
Increase (decrease) in net assets from operations	1,039	2,481
Distributions paid to unitholders:		
Investment income	(1,357)	(1,334)
Capital gains	(9)	–
Management fee rebates	(15)	(16)
Total distributions paid to unitholders	(1,381)	(1,350)
Unit transactions:		
Proceeds from units issued	23,990	1,971
Reinvested distributions	9	168
Payments on redemption of units	(9,956)	–
Total unit transactions	14,043	2,139
Increase (decrease) in net assets attributable to unitholders	13,701	3,270
End of period	51,812	38,111

STATEMENTS OF CASH FLOWS

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Cash flows from operating activities		
Net increase (decrease) in net assets attributable to unitholders from operations	1,039	2,481
Adjustments for:		
Net realized loss (gain) on investments	(336)	(280)
Change in net unrealized loss (gain) on investments	714	(1,080)
Purchase of investments ¹	(22,594)	(13,268)
Proceeds from sale and maturity of investments ¹	17,620	13,572
(Increase) decrease in accounts receivable and other assets	(82)	(14)
Increase (decrease) in accounts payable and other liabilities	1	(3)
Net cash provided by (used in) operating activities	(3,638)	1,408
Cash flows from financing activities		
Proceeds from units issued ¹	6,556	28
Payments on redemption of units ¹	(2,021)	–
Distributions paid net of reinvestments	(1,372)	(1,182)
Net cash provided by (used in) financing activities	3,163	(1,154)
Net increase (decrease) in cash and cash equivalents	(475)	254
Cash and cash equivalents at beginning of period	181	(73)
Effect of exchange rate fluctuations on cash and cash equivalents	–	–
Cash and cash equivalents at end of period	(294)	181
Cash	–	181
Cash equivalents	–	–
Bank indebtedness	(294)	–
Cash and cash equivalents at end of period	(294)	181
Supplementary disclosures on cash flow from operating activities:		
Dividends received net of withholding taxes	–	–
Foreign taxes paid (recovered)	–	–
Interest received net of withholding taxes	1,354	1,087
Interest paid	–	1

¹ Excludes in-kind transactions. See Note 11 (a).

The accompanying notes are an integral part of these financial statements.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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SCHEDULE OF INVESTMENTS

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS					
407 International Inc. 2.43% 05-04-2027 Callable	Canada	Corporate - Non Convertible	37,000	34	37
AIMCo Realty Investors LP 2.20% 11-04-2026	Canada	Corporate - Non Convertible	24,000	24	24
AIMCo Realty Investors LP 3.04% 06-01-2028 Callable 2028	Canada	Corporate - Non Convertible	37,000	33	37
Allied Properties Real Estate Investment Trust 3.11% 04-08-2027	Canada	Corporate - Non Convertible	167,000	164	166
Allied Properties Real Estate Investment Trust 3.12% 02-21-2030 Callable 2029	Canada	Corporate - Non Convertible	241,000	225	229
AltaGas Ltd. 3.98% 10-04-2027 Callable 2027	Canada	Corporate - Non Convertible	100,000	101	101
AltaGas Ltd. 2.08% 05-30-2028	Canada	Corporate - Non Convertible	64,000	55	62
Asian Development Bank 4.40% 07-13-2026	Supra - National	n/a	29,000	30	29
Bank of America Corp. F/R 04-04-2029	United States	Corporate - Non Convertible	94,000	87	92
Bank of Montreal 4.71% 12-07-2027	Canada	Corporate - Non Convertible	137,000	136	140
Bank of Montreal 3.19% 03-01-2028	Canada	Corporate - Non Convertible	454,000	456	454
Bank of Montreal 4.42% 07-17-2029	Canada	Corporate - Non Convertible	180,000	185	184
Bank of Montreal F/R 06-03-2031	Canada	Corporate - Non Convertible	248,000	250	247
Bank of Montreal F/R 09-07-2033	Canada	Corporate - Non Convertible	84,000	88	88
The Bank of Nova Scotia 2.95% 03-08-2027	Canada	Corporate - Non Convertible	49,000	49	49
The Bank of Nova Scotia 1.40% 11-01-2027	Canada	Corporate - Non Convertible	152,000	149	148
The Bank of Nova Scotia 3.10% 02-02-2028	Canada	Corporate - Non Convertible	117,000	108	117
The Bank of Nova Scotia 4.68% 02-01-2029	Canada	Corporate - Non Convertible	540,000	547	556
The Bank of Nova Scotia F/R 09-26-2030	Canada	Corporate - Non Convertible	335,000	337	336
The Bank of Nova Scotia F/R 05-03-2032	Canada	Corporate - Non Convertible	29,000	27	29
Bell Canada 5.15% 11-14-2028	Canada	Corporate - Non Convertible	201,000	208	208
Bell Canada 6.55% 05-01-2029 Callable	Canada	Corporate - Non Convertible	129,000	138	139
Bell Telephone Co. of Canada 4.55% 02-09-2030	Canada	Corporate - Non Convertible	225,000	233	231
British Columbia Investment Management Corp. 3.40% 06-02-2030	Canada	Provincial Governments	123,000	124	124
Brookfield Infrastructure Finance ULC 4.20% 09-11-2028 Callable 2028	Canada	Corporate - Non Convertible	39,000	36	39
Brookfield Infrastructure Finance ULC 3.41% 10-09-2029 Callable 2029	Canada	Corporate - Non Convertible	77,000	75	76
Brookfield Renewable Partners ULC 4.25% 01-15-2029 Callable 2028	Canada	Corporate - Non Convertible	151,000	155	153
Bruce Power LP 4.70% 12-21-2027	Canada	Corporate - Non Convertible	120,000	124	123
Caisse de Depot et Placement du Quebec 3.80% 06-02-2027	Canada	Provincial Governments	87,000	88	88
Cameco Corp. 2.95% 10-21-2027	Canada	Corporate - Non Convertible	86,000	86	85
Canada Housing Trust 2.35% 06-15-2027	Canada	Federal Government	1,116,000	1,061	1,111
Canada Housing Trust 2.35% 03-15-2028	Canada	Federal Government	173,000	172	171
Canada Housing Trust 3.10% 06-15-2028 144A	Canada	Federal Government	1,241,000	1,183	1,246
Canada Housing Trust 3.95% 06-15-2028 144A	Canada	Federal Government	50,000	52	51
Canada Housing Trust 2.65% 12-15-2028	Canada	Federal Government	674,000	655	668
Canada Housing Trust 4.25% 12-15-2028 144A	Canada	Federal Government	248,000	257	256
Canada Housing Trust 3.70% 06-15-2029 144A	Canada	Federal Government	201,000	201	205
Canada Housing Trust 2.10% 09-15-2029	Canada	Federal Government	160,000	155	155
Canada Housing Trust 1.75% 06-15-2030	Canada	Federal Government	1,086,000	1,039	1,027
Canada Housing Trust 2.85% 06-15-2030 144A	Canada	Federal Government	333,000	334	329
Canada Housing Trust 2.85% 12-15-2030	Canada	Federal Government	1,885,000	1,865	1,857
Canada Housing Trust 1.10% 03-15-2031	Canada	Federal Government	722,000	653	653
Canadian Core Real Estate LP 3.30% 03-02-2027	Canada	Corporate - Non Convertible	50,000	45	50
Canadian Imperial Bank of Commerce 4.95% 06-29-2027	Canada	Corporate - Non Convertible	52,000	51	53
Canadian Imperial Bank of Commerce 5.50% 01-14-2028	Canada	Corporate - Non Convertible	134,000	133	139
Canadian Imperial Bank of Commerce F/R 04-21-2031	Canada	Corporate - Non Convertible	41,000	40	41
Canadian Imperial Bank of Commerce F/R 06-20-2031	Canada	Corporate - Non Convertible	247,000	250	248
Canadian Imperial Bank of Commerce F/R 01-13-2032	Canada	Corporate - Non Convertible	286,000	288	283
Canadian Imperial Bank of Commerce F/R 04-07-2032	Canada	Corporate - Non Convertible	298,000	290	301
Canadian Imperial Bank of Commerce F/R 01-16-2034	Canada	Corporate - Non Convertible	19,000	19	20
Canadian National Railway Co. 3.20% 07-31-2028	Canada	Corporate - Non Convertible	44,000	40	44
Canadian Pacific Railway Ltd. 2.54% 02-28-2028	Canada	Corporate - Non Convertible	211,000	205	208
Canadian Western Bank 4.27% 02-08-2027	Canada	Corporate - Non Convertible	92,000	93	93
Cenovus Energy Inc. 3.50% 02-07-2028 Callable 2027	Canada	Corporate - Non Convertible	55,000	52	55
Central 1 Credit Union 4.65% 02-07-2028	Canada	Corporate - Non Convertible	57,000	53	58
Choice Properties Real Estate Investment Trust 2.46% 11-30-2026	Canada	Corporate - Non Convertible	26,000	25	26

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Choice Properties Real Estate Investment Trust 4.18% 03-08-2028 Callable 2027	Canada	Corporate - Non Convertible	36,000	34	36
Choice Properties Real Estate Investment Trust 2.98% 03-04-2030 Callable 2029	Canada	Corporate - Non Convertible	70,000	67	68
City of Montreal 3.00% 09-01-2027	Canada	Municipal Governments	72,000	70	72
City of Toronto 2.40% 06-24-2026	Canada	Municipal Governments	80,000	75	80
CNH Industrial Capital Canada Ltd. 5.50% 08-11-2026	United States	Corporate - Non Convertible	35,000	35	35
Coastal Gaslink Pipeline LP 4.69% 09-30-2029	Canada	Corporate - Non Convertible	73,000	76	76
CPPIB Capital Inc. 2.85% 06-01-2027	Canada	Federal Government	161,000	153	161
CPPIB Capital Inc. 3.25% 03-08-2028	Canada	Federal Government	242,000	239	243
CPPIB Capital Inc. 3.00% 06-15-2028	Canada	Federal Government	287,000	289	287
Crombie Real Estate Investment Trust 3.68% 08-26-2026 Callable 2026	Canada	Corporate - Non Convertible	36,000	34	36
Crombie Real Estate Investment Trust 3.92% 06-21-2027 Callable 2027	Canada	Corporate - Non Convertible	122,000	123	123
Daimler Trucks Finance Canada Inc. 2.46% 12-15-2026	Germany	Corporate - Non Convertible	37,000	33	37
Dream Industrial Real Estate Investment Trust 2.06% 06-17-2027	Canada	Corporate - Non Convertible	503,000	482	496
The Empire Life Insurance Co. 5.50% 01-13-2033	Canada	Corporate - Non Convertible	35,000	35	36
Enbridge Gas Inc. 2.90% 04-01-2030 Callable 2030	Canada	Corporate - Non Convertible	116,000	114	114
Enbridge Inc. 4.90% 05-26-2028	Canada	Corporate - Non Convertible	122,000	120	125
Enbridge Inc. 2.99% 10-03-2029	Canada	Corporate - Non Convertible	409,000	399	401
Enbridge Inc. 3.90% 02-25-2030	Canada	Corporate - Non Convertible	60,000	60	60
Enbridge Pipelines Inc. 3.00% 08-10-2026 Callable	Canada	Corporate - Non Convertible	73,000	77	73
Fairfax Financial Holdings Ltd. 4.70% 12-16-2026 Callable 2026	Canada	Corporate - Non Convertible	35,000	35	35
Fédération des Caisses Desjardins du Québec 5.47% 11-17-2028	Canada	Corporate - Non Convertible	227,000	239	238
Fédération des Caisses Desjardins du Québec F/R 08-23-2032	Canada	Corporate - Non Convertible	70,000	68	72
Fédération des Caisses Desjardins du Québec F/R 01-24-2035	Canada	Corporate - Non Convertible	250,000	250	252
Finning International Inc. 4.78% 02-13-2029	Canada	Corporate - Non Convertible	52,000	52	53
Ford Credit Canada Co. 4.22% 01-10-2028	United States	Corporate - Non Convertible	474,000	476	475
Ford Credit Canada Co. 4.79% 09-12-2029	United States	Corporate - Non Convertible	57,000	57	57
Fortis Inc. 2.18% 05-15-2028	Canada	Corporate - Non Convertible	19,000	17	19
General Motors Financial of Canada Ltd. 3.15% 02-08-2027	United States	Corporate - Non Convertible	37,000	34	37
General Motors Financial of Canada Ltd. 5.00% 02-09-2029	United States	Corporate - Non Convertible	152,000	158	157
General Motors Financial of Canada Ltd. 4.45% 02-25-2030	United States	Corporate - Non Convertible	79,000	79	80
Gibson Energy Inc. 2.85% 07-14-2027 Callable 2027	Canada	Corporate - Non Convertible	56,000	51	56
The Goldman Sachs Group Inc. F/R 11-30-2027	United States	Corporate - Non Convertible	99,000	93	99
Government of Canada 1.25% 03-01-2027	Canada	Federal Government	82,000	77	81
Government of Canada 2.75% 05-01-2027	Canada	Federal Government	455,000	457	455
Government of Canada 1.00% 06-01-2027	Canada	Federal Government	1,213,000	1,175	1,190
Government of Canada 2.75% 09-01-2027	Canada	Federal Government	790,000	792	790
Government of Canada 2.50% 11-01-2027	Canada	Federal Government	328,000	328	327
Government of Canada 2.25% 02-01-2028	Canada	Federal Government	105,000	104	104
Government of Canada 4.00% 03-01-2029	Canada	Federal Government	268,000	273	276
Government of Canada 2.25% 06-01-2029	Canada	Federal Government	550,000	539	539
Government of Canada 5.75% 06-01-2029	Canada	Federal Government	282,000	311	306
Government of Canada 3.50% 09-01-2029	Canada	Federal Government	1,496,000	1,547	1,521
Government of Canada 2.25% 12-01-2029	Canada	Federal Government	409,000	396	399
Government of Canada 1.25% 06-01-2030	Canada	Federal Government	3,213,000	2,989	2,990
Government of Canada 2.75% 09-01-2030	Canada	Federal Government	713,000	711	704
Government of Canada 0.50% 12-01-2030	Canada	Federal Government	811,000	720	721
Government of Canada 2.75% 03-01-2031	Canada	Federal Government	1,963,000	1,934	1,932
Granite Real Estate Investment Trust 3.06% 06-04-2027	Canada	Corporate - Non Convertible	55,000	50	55
Greater Toronto Airports Authority 1.54% 05-03-2028	Canada	Corporate - Non Convertible	39,000	34	38
Great-West Lifeco Inc. 3.34% 02-28-2028 Callable 2027	Canada	Corporate - Non Convertible	22,000	21	22
Honda Canada Finance Inc. 4.87% 09-23-2027	Canada	Corporate - Non Convertible	166,000	171	169
Honda Canada Finance Inc. 4.90% 06-04-2029	Canada	Corporate - Non Convertible	34,000	35	35
Hydro One Inc. 1.41% 10-15-2027 Callable 2027	Canada	Corporate - Non Convertible	419,000	410	410
Hydro One Inc. 4.91% 01-27-2028	Canada	Corporate - Non Convertible	24,000	25	25
Hydro-Quebec 2.00% 09-01-2028	Canada	Provincial Governments	8,000	7	8
Hydro-Quebec 3.40% 09-01-2029	Canada	Provincial Governments	112,000	113	113
Hyundai Capital Canada Inc. 3.20% 02-16-2027	Canada	Corporate - Non Convertible	37,000	34	37
Hyundai Capital Canada Inc. 5.57% 03-08-2028	Canada	Corporate - Non Convertible	68,000	69	71

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
iA Financial Corp. Inc. F/R 09-24-2031	Canada	Corporate - Non Convertible	36,000	34	36
¹ IGM Financial Inc. 3.44% 01-26-2027 Callable	Canada	Corporate - Non Convertible	54,000	51	54
Intact Financial Corp. 2.85% 06-07-2027 Callable 2027	Canada	Corporate - Non Convertible	73,000	67	73
Inter Pipeline Ltd. 4.23% 06-01-2027	Canada	Corporate - Non Convertible	49,000	47	49
Inter Pipeline Ltd. 5.76% 02-17-2028	Canada	Corporate - Non Convertible	24,000	25	25
Inter Pipeline Ltd. 5.71% 05-29-2030	Canada	Corporate - Non Convertible	76,000	81	81
Inter-American Development Bank 1.00% 06-29-2026	Supra - National	n/a	150,000	149	150
Inter-American Development Bank 0.88% 08-27-2027	Supra - National	n/a	366,000	351	356
John Deere Financial Inc. 2.81% 01-19-2029	United States	Corporate - Non Convertible	249,000	248	245
JPMorgan Chase & Co. 1.90% 03-05-2028	United States	Corporate - Non Convertible	76,000	67	75
Laurentian Bank of Canada 3.55% 04-20-2027	Canada	Corporate - Non Convertible	36,000	36	36
Loblaw Companies Ltd. 4.49% 12-11-2028 Callable 2028	Canada	Corporate - Non Convertible	119,000	123	122
Loblaw Companies Ltd. 6.50% 01-22-2029	Canada	Corporate - Non Convertible	63,000	67	67
Manulife Bank of Canada 4.55% 03-08-2029	Canada	Corporate - Non Convertible	165,000	170	170
Manulife Financial Corp. F/R 03-10-2033	Canada	Corporate - Non Convertible	103,000	104	106
Manulife Financial Corp. F/R 02-23-2034	Canada	Corporate - Non Convertible	21,000	22	22
Manulife Financial Corp. F/R 12-06-2034	Canada	Corporate - Non Convertible	93,000	93	93
Manulife Financial Corp. 2.82% 05-13-2035	Canada	Corporate - Non Convertible	402,000	387	386
Metro Inc. 3.39% 12-06-2027 Callable 2027	Canada	Corporate - Non Convertible	36,000	33	36
Metropolitan Life Global Funding I 1.95% 03-20-2028	United States	Corporate - Non Convertible	96,000	84	93
Molson Coors International LP 3.44% 07-15-2026 Callable	United States	Corporate - Non Convertible	36,000	39	36
Morgan Stanley F/R 08-04-2027	United States	Corporate - Non Convertible	56,000	55	56
Municipal Finance Authority of British Columbia 4.95% 12-01-2027	Canada	Municipal Governments	133,000	139	137
Mutual Life Assurance Co. of Canada 6.30% 05-15-2028	Canada	Corporate - Non Convertible	33,000	33	35
National Bank of Canada 1.53% 06-15-2026	Canada	Corporate - Non Convertible	25,000	22	25
National Bank of Canada 2.24% 11-04-2026	Canada	Corporate - Non Convertible	74,000	70	74
National Bank of Canada 5.02% 02-01-2029	Canada	Corporate - Non Convertible	131,000	134	136
National Bank of Canada F/R 08-16-2032	Canada	Corporate - Non Convertible	69,000	69	71
National Bank of Canada F/R 08-15-2035	Canada	Corporate - Non Convertible	251,000	257	253
New York Life Global Funding 2.00% 04-17-2028	United States	Corporate - Non Convertible	95,000	83	92
North West Redwater Partnership 4.25% 06-01-2029 Callable	Canada	Corporate - Non Convertible	190,000	197	194
OMERS Finance Trust 1.55% 04-21-2027	Canada	Provincial Governments	56,000	51	55
OMERS Realty Corp. 3.24% 10-04-2027 Callable 2027	Canada	Corporate - Non Convertible	90,000	85	90
Ontario Electricity Financial Corp. 8.25% 06-22-2026	Canada	Provincial Governments	63,000	83	64
Ontario Power Generation Inc. 3.32% 10-04-2027 Callable 2027	Canada	Corporate - Non Convertible	404,000	401	405
Ontario Teachers' Finance Trust 1.10% 10-19-2027	Canada	Provincial Governments	581,000	559	566
Oxford Properties Group Trust 3.60% 11-13-2030	Canada	Corporate - Non Convertible	195,000	195	193
Pembina Pipeline Corp. 4.24% 06-15-2027 Callable 2027	Canada	Corporate - Non Convertible	129,000	131	130
Pembina Pipeline Corp. 4.02% 03-27-2028 Callable 2028	Canada	Corporate - Non Convertible	53,000	51	53
Primaris Real Estate Investment Trust 5.93% 03-29-2028	Canada	Corporate - Non Convertible	50,000	51	52
Province of Alberta 2.55% 06-01-2027	Canada	Provincial Governments	129,000	129	129
Province of Alberta 2.90% 12-01-2028	Canada	Provincial Governments	206,000	202	206
Province of Alberta 4.10% 06-01-2029	Canada	Provincial Governments	217,000	221	224
Province of Alberta 2.05% 06-01-2030	Canada	Provincial Governments	438,000	418	418
Province of British Columbia 2.95% 12-18-2028	Canada	Provincial Governments	316,000	314	316
Province of British Columbia 5.70% 06-18-2029	Canada	Provincial Governments	316,000	353	341
Province of Manitoba 2.60% 06-02-2027	Canada	Provincial Governments	90,000	86	90
Province of Manitoba 3.00% 06-02-2028	Canada	Provincial Governments	52,000	51	52
Province of Manitoba 2.05% 06-02-2030	Canada	Provincial Governments	438,000	417	418
Province of New Brunswick 2.35% 08-14-2027	Canada	Provincial Governments	201,000	196	200
Province of Newfoundland and Labrador 6.15% 04-17-2028	Canada	Provincial Governments	110,000	118	117
Province of Newfoundland and Labrador 2.85% 06-02-2028	Canada	Provincial Governments	462,000	463	461
Province of Nova Scotia 2.10% 06-01-2027	Canada	Provincial Governments	110,000	103	109
Province of Ontario 2.60% 06-02-2027	Canada	Provincial Governments	209,000	201	209
Province of Ontario 3.60% 03-08-2028	Canada	Provincial Governments	357,000	365	362
Province of Ontario 2.90% 06-02-2028	Canada	Provincial Governments	308,000	289	308
Province of Ontario 3.40% 09-08-2028	Canada	Provincial Governments	583,000	593	589
Province of Ontario 4.00% 03-08-2029	Canada	Provincial Governments	310,000	309	318
Province of Ontario 6.50% 03-08-2029	Canada	Provincial Governments	279,000	312	306
Province of Ontario 2.70% 06-02-2029	Canada	Provincial Governments	416,000	402	411
Province of Ontario 1.55% 11-01-2029	Canada	Provincial Governments	223,000	210	211
Province of Ontario 2.05% 06-02-2030	Canada	Provincial Governments	437,000	417	417

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Province of Ontario 1.35% 12-02-2030	Canada	Provincial Governments	314,000	289	288
Province of Quebec 2.75% 09-01-2027	Canada	Provincial Governments	46,000	46	46
Province of Quebec 2.75% 09-01-2028	Canada	Provincial Governments	689,000	668	686
Province of Quebec 2.30% 09-01-2029	Canada	Provincial Governments	107,000	103	104
Province of Quebec 1.90% 09-01-2030	Canada	Provincial Governments	667,000	632	631
Province of Saskatchewan 2.55% 06-02-2026	Canada	Provincial Governments	72,000	73	72
Province of Saskatchewan 2.65% 06-02-2027	Canada	Provincial Governments	36,000	35	36
Province of Saskatchewan 3.05% 12-02-2028	Canada	Provincial Governments	200,000	199	200
Public Sector Pension Investment 1.50% 03-15-2028	Canada	Federal Government	355,000	346	345
Regional Municipality of York 2.50% 06-02-2026	Canada	Municipal Governments	54,000	52	54
Reliance LP 2.67% 08-01-2028	Canada	Corporate - Non Convertible	50,000	43	49
RioCan Real Estate Investment Trust 2.83% 11-08-2028	Canada	Corporate - Non Convertible	96,000	86	94
Rogers Communications Inc. 5.70% 09-21-2028	Canada	Corporate - Non Convertible	101,000	100	106
Rogers Communications Inc. 5.80% 09-21-2030	Canada	Corporate - Non Convertible	145,000	157	156
Royal Bank of Canada 4.64% 01-17-2028	Canada	Corporate - Non Convertible	361,000	359	369
Royal Bank of Canada 4.63% 05-01-2028	Canada	Corporate - Non Convertible	118,000	122	121
Royal Bank of Canada 1.83% 07-31-2028	Canada	Corporate - Non Convertible	115,000	105	112
Royal Bank of Canada F/R 10-17-2030	Canada	Corporate - Non Convertible	394,000	402	398
Royal Bank of Canada F/R 11-03-2031	Canada	Corporate - Non Convertible	41,000	40	41
Royal Bank of Canada F/R 05-03-2032	Canada	Corporate - Non Convertible	182,000	179	181
Royal Bank of Canada F/R 04-03-2034	Canada	Corporate - Non Convertible	131,000	130	136
Royal Bank of Canada F/R 08-08-2034	Canada	Corporate - Non Convertible	469,000	485	482
Saputo Inc. 2.24% 06-16-2027 Callable 2027	Canada	Corporate - Non Convertible	146,000	145	144
SmartCentres Real Estate Investment Trust 3.19% 06-11-2027 Callable 2027	Canada	Corporate - Non Convertible	123,000	123	123
Sun Life Financial Inc. F/R 11-21-2033	Canada	Corporate - Non Convertible	234,000	231	229
Sun Life Financial Inc. F/R 08-10-2034	Canada	Corporate - Non Convertible	58,000	60	60
TELUS Corp. 3.63% 03-01-2028 Callable 2027	Canada	Corporate - Non Convertible	100,000	91	100
TELUS Corp. 3.30% 05-02-2029 Callable 2029	Canada	Corporate - Non Convertible	127,000	126	126
TELUS Corp. 3.15% 02-19-2030 Callable 2029	Canada	Corporate - Non Convertible	208,000	203	203
Toromont Industries Ltd. 3.84% 10-27-2027 Callable	Canada	Corporate - Non Convertible	36,000	34	36
Toronto Hydro Corp. 2.52% 08-25-2026 Callable	Canada	Corporate - Non Convertible	37,000	35	37
Toronto Hydro Corp. 1.50% 10-15-2030	Canada	Corporate - Non Convertible	221,000	208	205
The Toronto-Dominion Bank 4.52% 01-29-2027	Canada	Corporate - Non Convertible	19,000	20	19
The Toronto-Dominion Bank 4.21% 06-01-2027	Canada	Corporate - Non Convertible	387,000	382	391
The Toronto-Dominion Bank 4.48% 01-18-2028	Canada	Corporate - Non Convertible	174,000	172	177
The Toronto-Dominion Bank 4.68% 01-08-2029	Canada	Corporate - Non Convertible	478,000	485	492
The Toronto-Dominion Bank 4.23% 04-02-2029	Canada	Corporate - Non Convertible	110,000	113	113
The Toronto-Dominion Bank F/R 10-31-2030	Canada	Corporate - Non Convertible	334,000	338	337
The Toronto-Dominion Bank F/R 01-26-2032 Callable 2027	Canada	Corporate - Non Convertible	73,000	71	73
The Toronto-Dominion Bank F/R 02-01-2035	Canada	Corporate - Non Convertible	172,000	173	173
Toyota Credit Canada Inc. 4.44% 06-27-2029	Canada	Corporate - Non Convertible	86,000	87	88
Toyota Credit Canada Inc. 3.73% 10-02-2029	Canada	Corporate - Non Convertible	114,000	113	114
Toyota Credit Canada Inc. 3.65% 08-19-2030	Canada	Corporate - Non Convertible	260,000	263	259
TransCanada Pipelines Ltd. 3.39% 03-15-2028 Callable 2027	Canada	Corporate - Non Convertible	100,000	94	100
Union Gas Ltd. 2.81% 06-01-2026 Callable	Canada	Corporate - Non Convertible	90,000	96	90
Ventas Canada Finance Ltd. 5.10% 03-05-2029	United States	Corporate - Non Convertible	107,000	111	111
Verizon Communications Inc. 2.38% 03-22-2028	United States	Corporate - Non Convertible	57,000	50	56
Vital Infrastructure Propt Real Estate Investment Trust 5.51% 02-18-2030	Canada	Corporate - Non Convertible	17,000	17	17
VW Credit Canada Inc. 2.45% 12-10-2026	Germany	Corporate - Non Convertible	37,000	33	37
VW Credit Canada Inc. 5.73% 09-20-2028	Germany	Corporate - Non Convertible	68,000	67	71
VW Credit Canada Inc. 3.81% 11-19-2030	Germany	Corporate - Non Convertible	207,000	207	205
The Walt Disney Co. 3.06% 03-30-2027	United States	Corporate - Non Convertible	54,000	50	54
Waste Management of Canada Corp. 2.60% 09-23-2026 Callable 2026	Canada	Corporate - Non Convertible	37,000	34	37
Welltower Inc. 2.95% 01-15-2027 Callable 2026	United States	Corporate - Non Convertible	38,000	34	38
WSP Global Inc. 4.12% 09-12-2029	Canada	Corporate - Non Convertible	92,000	93	93
Total bonds				51,132	51,565
Transaction costs				—	—
Total investments				51,132	51,565

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
Derivative instruments (see schedule of derivative instruments)					(9)
Bank indebtedness					(294)
Other assets less liabilities					550
Net assets attributable to unitholders					51,812

¹ The issuer of this security is related to Mackenzie. See Note 1.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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SUMMARY OF INVESTMENT PORTFOLIO

MARCH 31, 2026	
PORTFOLIO ALLOCATION	% OF NAV
Bonds	100.8
<i>Bonds</i>	99.5
<i>Long bond futures</i>	1.3
Other assets (liabilities)	1.1
Cash and cash equivalents	(1.9)
REGIONAL ALLOCATION	% OF NAV
Canada	98.5
United States	2.2
Other assets (liabilities)	1.1
Philippines	0.1
Cash and cash equivalents	(1.9)
SECTOR ALLOCATION	% OF NAV
Federal bonds	42.0
Corporate bonds	40.2
Provincial bonds	18.2
Other assets (liabilities)	1.1
Municipal bonds	0.4
Cash and cash equivalents	(1.9)

MARCH 31, 2025	
PORTFOLIO ALLOCATION	% OF NAV
Bonds	100.4
<i>Bonds</i>	98.9
<i>Long bond futures</i>	1.5
Other assets (liabilities)	0.6
Cash and cash equivalents	(1.0)
REGIONAL ALLOCATION	% OF NAV
Canada	95.6
United States	4.2
Other assets (liabilities)	0.6
Germany	0.4
Australia	0.1
United Kingdom	0.1
Cash and cash equivalents	(1.0)
SECTOR ALLOCATION	% OF NAV
Federal bonds	42.0
Corporate bonds	37.7
Provincial bonds	20.0
Municipal bonds	0.7
Other assets (liabilities)	0.6
Cash and cash equivalents	(1.0)

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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SCHEDULE OF DERIVATIVE INSTRUMENTS

as at March 31, 2026

Schedule of Futures Contracts						
Type of Contract	Number of Contracts	Expiration Date	Average Rate of Contracts (\$)	Notional Value* (\$ 000)	Unrealized Gains (\$ 000)	Unrealized Losses (\$ 000)
5 Year Canadian Government Bond Futures June 2026	6	Jun. 19, 2026	113.49 CAD	681	–	(9)
Total futures contracts				681	–	(9)
* Notional value represents the exposure to the underlying instruments as at March 31, 2026						
Total gross derivative assets						–
Total gross derivative liabilities						(9)

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

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NOTES TO FINANCIAL STATEMENTS

1. Fiscal Periods and General Information

The ETF is organized as an open-ended mutual fund trust established under the laws of the Province of Ontario pursuant to a Declaration of Trust as amended and restated from time to time. The address of the ETF's registered office is 180 Queen Street West, Toronto, Ontario, Canada. The ETF is authorized to issue an unlimited number of units for sale under a Prospectus. The units of the ETF are listed on the Toronto Stock Exchange/Cboe Canada ("the Exchange").

The information provided in these financial statements and notes thereto is for the periods ended or as at March 31, 2026 and 2025. In the year an exchange-traded fund ("the ETF") is established, 'period' represents the period from inception to the period end of that fiscal year. Refer to Note 11 (a) for the formation date of the ETF.

Mackenzie Financial Corporation ("Mackenzie") is the manager of the ETF and is wholly owned by IGM Financial Inc., a subsidiary of Power Corporation of Canada. Canada Life Investment Management Ltd. ("CLIML") is an indirect, wholly-owned subsidiary of The Canada Life Assurance Company ("Canada Life"), a subsidiary of Power Corporation of Canada. Investments in companies within the Power Group of companies held by the ETF are identified in the Schedule of Investments.

2. Basis of Preparation and Presentation

These audited annual financial statements ("financial statements") have been prepared in accordance with IFRS Accounting Standards ("IFRS"). A summary of the ETF's material accounting policies under IFRS is presented in Note 3.

These financial statements are presented in Canadian dollars, which is the ETF's functional and presentation currency, and rounded to the nearest thousand unless otherwise indicated. These financial statements are prepared on a going concern basis using the historical cost basis, except for financial instruments that have been measured at fair value.

These financial statements were authorized for issue by the Board of Directors of Mackenzie on June 4, 2026.

On January 22, 2026, the Canadian Securities Administrators adopted amendments to National Instrument 81-106 Investment Fund Continuous Disclosure to remove the requirement to prepare certain series-level disclosures in the *Statement of Comprehensive Income*, the *Statement of Changes in Financial Position* and in the notes to the financial statements. These amendments have come into force on April 22, 2026, and as a result, have been applied to these financial statements.

3. Material Accounting Policies

(a) Financial instruments

Financial instruments include financial assets and liabilities such as debt and equity securities, exchange-traded funds and derivatives. The ETF classifies and measures financial instruments in accordance with IFRS 9, *Financial Instruments* ("IFRS 9"). Upon initial recognition, financial instruments are classified as fair value through profit or loss ("FVTPL"). All financial instruments are recognized in the *Statement of Financial Position* when the ETF becomes a party to the contractual requirements of the instrument. Financial assets are derecognized when the right to receive cash flows from the instrument has expired or the ETF has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognized when the obligation is discharged, cancelled or expires. Investment purchase and sale transactions are recorded as of the trade date.

Financial instruments are subsequently measured at FVTPL with changes in fair value recognized in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net unrealized gain (loss)*.

The cost of investments is determined on a weighted average cost basis.

Realized and unrealized gains and losses on investments are calculated based on the weighted average cost of investments and exclude commissions and other portfolio transaction costs, which are separately reported in the *Statement of Comprehensive Income – Commissions and other portfolio transaction costs*.

Gains and losses arising from changes in the fair value of the investments are included in the *Statement of Comprehensive Income* for the period in which they arise.

The ETF accounts for its holdings in unlisted open-ended investment funds, private funds ("Underlying Funds") and Exchange-Traded Funds ("ETFs"), if any, at FVTPL. For private funds, Mackenzie will rely on the valuations provided by the managers of the private funds, which represents the ETF's proportionate share of the net assets of these private funds. The ETF's investment in Underlying Funds and ETFs, if any, is presented in the Schedule of Investments at fair value which represents the ETF's maximum exposure on these investments.

The ETF's redeemable units are held by different types of unitholders that are entitled to different redemption rights. Unitholders may redeem units of the ETF at a redemption price per unit equal to 95% of the closing price of the units on the Exchange on the effective day of the redemption, subject to a maximum redemption price of the applicable NAV per unit. These different redemption features create equally subordinate but not identical units of the ETF which therefore meet the criteria for classification as financial liabilities under IAS 32, *Financial Instruments: Presentation*. The ETF's obligation for net assets attributable to unitholders is presented at the redemption amount. Refer to Note 7 for details of subscriptions and redemptions of the ETF's units.

IAS 7, *Statement of Cash Flows*, requires disclosures related to changes in liabilities and assets, such as the units of the ETF, arising from financing activities. Changes in units of the ETF, including both changes from cash flows and non-cash changes, are included in the *Statement of Changes in Financial Position*. Any changes in the units not settled in cash as at the end of the period are presented as either Accounts receivable for units issued or Accounts payable for units redeemed in the *Statement of Financial Position*. These accounts receivable and accounts payable amounts typically settle shortly after period-end.

(b) Fair value measurement

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

NOTES TO FINANCIAL STATEMENTS

3. Material Accounting Policies (cont'd)

(b) Fair value measurement (cont'd)

Investments listed on a public securities exchange or traded on an over-the-counter market, including ETFs, are valued on the basis of the last traded market price or closing price recorded by the security exchange on which the security is principally traded, where this price falls within the quoted bid-ask spread for the investment. In circumstances where this price is not within the bid-ask spread, Mackenzie determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances. Mutual fund securities of an underlying fund are valued on a business day at the price calculated by the manager of such underlying fund in accordance with the constituting documents of such underlying fund. Unlisted or non-exchange traded investments, or investments where a last sale or close price is unavailable or investments for which market quotations are, in Mackenzie's opinion, inaccurate, unreliable, or not reflective of all available material information, are valued at their fair value as determined by Mackenzie using appropriate and accepted industry valuation techniques including valuation models. The fair value determined using valuation models requires the use of inputs and assumptions based on observable market data including volatility and other applicable rates or prices. In limited circumstances, the fair value may be determined using valuation techniques that are not supported by observable market data.

Cash and cash equivalents which includes cash on deposit with financial institutions and short-term investments that are readily convertible to cash, are subject to an insignificant risk of changes in value, and are used by the ETF in the management of short-term commitments. Cash and cash equivalents and short-term investments are reported at fair value which closely approximates their amortized cost due to their nature of being highly liquid and having short terms to maturity. Bank overdraft positions are presented under current liabilities as bank indebtedness in the *Statement of Financial Position*. Short-term investments that are not considered cash equivalents are separately disclosed in the Schedule of Investments.

The ETF may use derivatives (such as written options, futures, forward contracts, swaps or customized derivatives) to hedge against losses caused by changes in securities prices, interest rates or exchange rates. The ETF may also use derivatives for non-hedging purposes in order to invest indirectly in securities or financial markets, to gain exposure to other currencies, to seek to generate additional income, and/or for any other purpose considered appropriate by the ETF's portfolio manager(s), provided that the use of the derivative is consistent with the ETF's investment objectives. Any use of derivatives will comply with Canadian mutual fund laws, subject to the regulatory exemptions granted to the ETF, as applicable.

Valuations of derivative instruments are carried out daily, using normal exchange reporting sources for exchange-traded derivatives and specific broker enquiry for over-the-counter derivatives.

The value of forward contracts is the gain or loss that would be realized if, on the valuation date, the positions were to be closed out. The change in value of forward contracts is included in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net unrealized gain (loss)*.

The daily fluctuation of futures contracts or swaps, along with daily cash settlements made by the ETF, where applicable, are equal to the change in unrealized gains or losses that are best determined at the settlement price. These unrealized gains or losses are recorded and reported as such until the ETF closes out the contract or the contract expires. Margin paid or deposited in respect of futures contracts or swaps is reflected as a receivable in the *Statement of Financial Position – Margin on derivatives*. Any change in the variation margin requirement is settled daily.

Premiums paid for purchasing an option are recorded in the *Statement of Financial Position – Investments at fair value*.

Premiums received from written options are included in the *Statement of Financial Position* as a liability and subsequently adjusted daily to fair value. If a written option expires unexercised, the premium received is recognized as a realized gain. If a written call option is exercised, the difference between the proceeds of the sale plus the value of the premium, and the cost of the security is recognized as a realized gain or loss. If a written put option is exercised, the cost of the security acquired is the exercise price of the option less the premium received.

Refer to the Schedule of Derivative Instruments and Schedule of Options Purchased/Written, as applicable, included in the Schedule of Investments for a listing of derivative and options positions as at March 31, 2026.

The ETF categorizes the fair value of its assets and liabilities into three categories, which are differentiated based on the observable nature of the inputs and extent of estimation required.

Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities;

Level 2 – Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly. Examples of Level 2 valuations include quoted prices for similar securities, quoted prices on inactive markets and from recognized investment dealers, and the application of factors derived from observable data to non-North American quoted prices in order to estimate the impact of differences in market closing times.

Financial instruments classified as Level 2 investments are valued based on the prices provided by an independent reputable pricing services company who prices the securities based on recent transactions and quotes received from market participants and through incorporating observable market data and using standard market convention practices. Short-term investments classified as Level 2 investments are valued based on amortized cost plus accrued interest which closely approximates fair value.

The estimated fair values for these securities may be different from the values that would have been used had a ready market for the investment existed; and

Level 3 – Inputs that are not based on observable market data.

The inputs are considered observable if they are developed using market data, such as publicly available information about actual events or transactions, and that reflect the assumption that market participants would use when pricing the asset or liability.

See Note 11 for the fair value classifications of the ETF.

(c) Income recognition

Interest income for distribution purposes represents the coupon interest received by the ETF which is accounted for on an accrual basis. The ETF does not amortize premiums paid or discounts received on the purchase of fixed income securities except for zero coupon bonds, which are amortized on a straight-line basis. Dividends are accrued as of the ex-dividend date. Unrealized gains or losses on investments, realized gains or losses on the sale of investments, including foreign exchange gains or losses on such investments, are calculated on a weighted average cost basis. Distributions received from an Underlying Fund or ETF are included in Interest income for distribution purposes, Dividends income or Net realized gain (loss), as appropriate, on the ex-dividend or distribution date.

MACKENZIE CANADIAN SHORT-TERM BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

NOTES TO FINANCIAL STATEMENTS

3. Material Accounting Policies (cont'd)

(d) Commissions and other portfolio transaction costs

Commissions and other portfolio transaction costs are costs incurred to acquire, issue or dispose of financial assets or liabilities. They include fees and commissions paid to agents, exchanges, brokers, dealers and other intermediaries. The total brokerage commissions incurred by the ETF in connection with portfolio transactions for the periods, together with other transaction charges, is disclosed in the *Statements of Comprehensive Income*. Brokerage business is allocated to brokers based on the best net result for the ETF. Subject to this criteria, commissions may be paid to brokerage firms which provide (or pay for) certain services, other than order execution, which may include investment research, analysis and reports, and databases or software in support of these services. Where applicable and ascertainable, the value of these services generated during the periods is disclosed in Note 11. The value of certain proprietary services provided by brokers cannot be reasonably estimated.

Mackenzie may reimburse the ETF for certain commissions and other portfolio transaction costs. Mackenzie may make these reimbursements at its discretion and stop these reimbursements at any time without notice. Any such reimbursements are included in the *Statement of Comprehensive Income – Expenses absorbed by Manager*.

(e) Securities lending, repurchase and reverse repurchase transactions

The ETF is permitted to enter into securities lending, repurchase and reverse repurchase transactions as set out in the ETF's Prospectus. These transactions involve the temporary exchange of securities for collateral with a commitment to redeliver the same securities on a future date. Income is earned from these transactions in the form of fees paid by the counterparty and, in certain circumstances, interest paid on cash or securities held as collateral. Income earned from these transactions is included in the *Statement of Comprehensive Income* and recognized when earned. Securities lending transactions are administered by The Bank of New York Mellon (the "Securities Lending Agent"). The value of cash or securities held as collateral must be at least 102% of the fair value of the securities loaned, sold or purchased.

Note 11 summarizes the details of securities loaned and collateral received as at the end of period, as well as a reconciliation of securities lending income during the period, if applicable. Collateral received is comprised of debt obligations of the Government of Canada and other countries, Canadian provincial and municipal governments, and financial institutions.

(f) Offsetting

Financial assets and liabilities are offset and the net amount reported in the *Statement of Financial Position* only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. In the normal course of business, the ETF enters into various master netting agreements or similar agreements that do not meet the criteria for offsetting in the *Statement of Financial Position* but still allow for the related amounts to be set off in certain circumstances, such as default, bankruptcy, or termination of the contracts. Note 11 summarizes the details of such offsetting, if applicable, including gross recognized financial assets and financial liabilities, amounts offset in the *Statement of Financial Position* and the net impact to the *Statements of Financial Position* if all set-off rights were exercised as part of future events.

Income and expenses are not offset in the *Statement of Comprehensive Income* unless required or permitted to by an accounting standard, as specifically disclosed in the IFRS policies of the ETF.

(g) Currency

The functional and presentation currency of the ETF is Canadian dollars. Foreign currency purchases and sales of investments and foreign currency dividend and interest income and expenses are translated to Canadian dollars at the rate of exchange prevailing at the time of the transactions.

Foreign exchange gains (losses) on purchases and sales of foreign currencies are included in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net realized gain (loss)*.

The fair value of investments and other assets and liabilities, denominated in foreign currencies, are translated to Canadian dollars at the rate of exchange prevailing on each business day.

(h) Net assets attributable to unitholders per unit

Net assets attributable to unitholders per unit is computed by dividing the net assets attributable to unitholders on a business day by the total number of units outstanding on that day.

(i) Net asset value per unit

The daily Net Asset Value ("NAV") of an investment fund may be calculated without reference to IFRS as per the Canadian Securities Administrators' ("CSA") regulations. The difference between NAV and Net assets attributable to unitholders (as reported in the financial statements), if any, is mainly due to differences in fair value of investments and other financial assets and liabilities and is disclosed in Note 11, if applicable.

(j) Future accounting changes

i) Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)

In May 2024, the International Accounting Standards Board ("IASB") issued amendments to IFRS 9 and IFRS 7, *Financial Instruments: Disclosures* ("IFRS 7"). These amendments relate to classification of financial assets and accounting for settlement by electronic payments in the context of the classification and measurement requirements of IFRS 9. The potential impact may include, but is not limited to, a change in timing of recognition and derecognition of financial instruments in certain situations in which settlement takes more than a day. These amendments also introduced an accounting policy choice to derecognize financial liabilities settled using an electronic payment system before the settlement date. These amendments are effective for annual periods beginning on or after January 1, 2026, with early adoption permitted.

ii) IFRS 18, *Presentation and Disclosure in Financial Statements* ("IFRS 18")

In April 2024, the IASB issued IFRS 18. IFRS 18, which replaces IAS 1, *Presentation of financial statements*, introduces new requirements to present specified categories and defined subtotals in the *Statement of Comprehensive Income*, new disclosure for management-defined performance measures, and additional requirements for aggregation and disaggregation of information. The standard is effective for annual periods beginning on or after January 1, 2027, with early adoption permitted.

Mackenzie is currently assessing the impact of the adoption of the above standards. No other new standards, amendments and interpretations are expected to have a material effect on the financial statements of the ETF.

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4. Critical Accounting Estimates and Judgments

The preparation of these financial statements requires management to make estimates and assumptions that primarily affect the valuation of investments. Estimates and assumptions are reviewed on an ongoing basis. Actual results may differ from these estimates.

The following discusses the most significant accounting judgments and estimates made in preparing the financial statements:

Use of Estimates

Fair value of securities not quoted in an active market

The ETF may hold financial instruments that are not quoted in active markets and are valued using valuation techniques that make use of observable data, to the extent practicable. Various valuation techniques are utilized, depending on a number of factors, including comparison with similar instruments for which observable market prices exist and recent arm's length market transactions. Key inputs and assumptions used are company specific and may include estimated discount rates and expected price volatilities. Changes in key inputs, could affect the reported fair value of these financial instruments held by the ETF.

Use of Judgments

Classification and measurement of investments

In classifying and measuring financial instruments held by the ETF, Mackenzie is required to make significant judgments in order to determine the most appropriate classification in accordance with IFRS 9. Mackenzie has assessed the ETF's business model, the manner in which all financial instruments are managed and performance evaluated as a group on a fair value basis, and concluded that FVTPL in accordance with IFRS 9 provides the most appropriate measurement and presentation of the ETF's financial instruments.

Functional currency

The ETF's functional and presentation currency is the Canadian dollar, which is the currency considered to best represent the economic effects of the ETF's underlying transactions, events and conditions taking into consideration the manner in which units are issued and redeemed and how returns and performance by the ETF are measured.

Interest in unconsolidated structured entities

In determining whether an Underlying Fund or an ETF in which the ETF invests, but that it does not consolidate, meets the definition of a structured entity, Mackenzie is required to make significant judgments about whether these Underlying Funds have the typical characteristics of a structured entity. These Underlying Funds do meet the definition of a structured entity because:

- I. The voting rights in the Underlying Funds are not dominant factors in deciding who controls them;
- II. the activities of the Underlying Funds are restricted by their offering documents; and
- III. the Underlying Funds have narrow and well-defined investment objectives to provide investment opportunities for investors while passing on the associated risks and rewards.

As a result, such investments are accounted for at FVTPL. Note 11 summarizes the details of the ETF's interest in these Underlying Funds, if applicable.

5. Income Taxes

The ETF qualifies as a mutual fund trust under the provisions of the Income Tax Act (Canada) and, accordingly, is subject to tax on its income including net realized capital gains in the taxation year, which is not paid or payable to its unitholders as at the end of the taxation year. The ETF maintains a December year-end for tax purposes. The ETF may be subject to withholding taxes on foreign income. In general, the ETF treats withholding tax as a charge against income for tax purposes. The ETF will distribute sufficient amounts from net income for tax purposes, as required, so that the ETF will not pay income taxes other than refundable tax on capital gains, if applicable.

Losses of the ETF cannot be allocated to investors and are retained in the ETF for use in future years. Non-capital losses may be carried forward up to 20 years to reduce taxable income and realized capital gains of future years. Capital losses may be carried forward indefinitely to reduce future realized capital gains. Refer to Note 11 for the ETF's loss carryforwards.

6. Management Fees and Operating Expenses

Mackenzie is paid a management fee for managing the investment portfolio, providing investment analysis and recommendations, making investment decisions and making brokerage arrangements relating to the purchase and sale of the investment portfolio. The management fee is calculated as a fixed annual percentage of the daily net asset value of the units of the ETF.

In addition to the applicable management fee, the operating expenses payable by the ETF include interest and borrowing costs, brokerage expenses and related transaction fees, fees and expenses relating to the operation of the Mackenzie ETFs' Independent Review Committee ("IRC"), fees under any derivative instrument used by the ETF, cost of complying with the regulatory requirement to produce summary documents, ETF facts or other similar disclosure documents, the costs of complying with governmental or regulatory requirements introduced after the date of the most recently filed prospectus, including, without limitation, any new fees or increases in fees, the fees related to external services that are not commonly charged in the Canadian exchange-traded fund industry after the date of the most recently filed prospectus, fees paid to external service providers associated with tax reclaims, refunds or the preparation of foreign tax reports on behalf of the ETFs, fees paid to external legal counsel and/or others in connection with corporate or other actions affecting the portfolio holdings of the ETF, and any applicable taxes, including income, withholding or other taxes and also including G.S.T. or H.S.T. on expenses.

Mackenzie may waive or absorb management fees and operating expenses at its discretion and stop waiving or absorbing such fees at any time without notice.

Mackenzie may charge a reduced management fee rate with respect to investments in the ETF by large investors, including other funds managed by Mackenzie or affiliates of Mackenzie. An amount equal to the difference between the fee otherwise chargeable and the reduced fee will be distributed in cash to those unitholders by the ETF as a management fee distribution. Refer to Note 11 for the management fee rates charged to units of the ETF.

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7. Units and Unit Transactions

Mackenzie, on behalf of the ETF, has entered into a designated broker agreement with one or more designated brokers pursuant to which the designated broker has agreed to perform certain duties relating to the ETF including, without limitation: (i) to subscribe for a sufficient number of units to satisfy the Exchange's original listing requirements; (ii) to subscribe for units on an ongoing basis in connection with any rebalancing event, as applicable, and when cash redemptions of units occur; and (iii) to post a liquid two-way market for the trading of units on the Exchange. In accordance with the designated broker agreement, Mackenzie may from time to time require the designated broker to subscribe for units of the ETF for cash.

The number of units issued/redeemed for subscription/redemption orders (the "Prescribed Number of Units") is determined by Mackenzie. On any trading day, a designated broker may place a subscription or redemption order for any multiple of the Prescribed Number of Units of the ETF based on the NAV per unit determined on the applicable trading day. A trading day is each day on which the Exchange is opened for business.

Generally, all orders to purchase units directly from an ETF must be placed by a designated broker or a dealer. The ETF reserves the absolute right to reject any subscription order placed by a designated broker or a dealer. No fees will be payable by the ETF to a designated broker or a dealer in connection with the issuance of units. On the issuance of units, an amount may be charged to a designated broker or a dealer to offset the expenses incurred in issuing the units.

For each Prescribed Number of Units issued, a dealer must deliver payment consisting of: (i) a basket of securities and cash equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order; (ii) cash in an amount equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order; or (iii) a combination of securities and cash, as determined by Mackenzie, in an amount sufficient so that the value of the securities and cash received is equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order.

8. ETF's Capital

The capital of the ETF, which is comprised of the net assets attributable to unitholders, is divided into different series with each series having an unlimited number of units. The units outstanding for the ETF as at March 31, 2026, and 2025, and units issued, reinvested and redeemed for the periods are disclosed in Note 11. Mackenzie manages the capital of the ETF in accordance with its investment objectives as disclosed in Note 11.

9. Financial Instruments Risk

(a) Risk exposure and management

The ETF's investment activities expose it to a variety of financial risks, as defined in IFRS 7. The ETF's exposure to financial risks is concentrated in its investments, which are presented in the Schedule of Investments, as at March 31, 2026, grouped by asset type, with geographic and sector information.

Mackenzie seeks to minimize potential adverse effects of financial risks on the ETF's performance by employing professional, experienced portfolio advisors, by monitoring the ETF's positions and market events daily, by diversifying the investment portfolio within the constraints of the ETF's investment objectives, and where applicable, by using derivatives to hedge certain risk exposures. To assist in managing risks, Mackenzie also maintains a governance structure that oversees the ETF's investment activities and monitors compliance with the ETF's stated investment strategy, internal guidelines, and securities regulations.

(b) Liquidity risk

Liquidity risk arises when the ETF encounters difficulty in meeting its financial obligations as they become due. The ETF is exposed to liquidity risk due to potential daily cash redemptions of redeemable units. In accordance with securities regulations, the ETF must maintain at least 85% of its assets in liquid investments (i.e., investments that can be readily sold). The ETF also has the ability to borrow up to 5% of its net assets for the purposes of funding redemptions and an additional 5% of its net assets for the purpose of funding distributions paid to its investors.

(c) Currency risk

Currency risk is the risk that financial instruments which are denominated or exchanged in a currency other than the Canadian dollar, which is the ETF's functional currency, will fluctuate due to changes in exchange rates. Generally, foreign denominated investments increase in value when the value of the Canadian dollar (relative to foreign currencies) falls. Conversely, when the value of the Canadian dollar rises relative to foreign currencies, the values of foreign denominated investments fall.

Note 11 indicates the foreign currencies, if applicable, to which the ETF had significant exposure, including both monetary and non-monetary financial instruments, and illustrates the potential impact, in Canadian dollar terms, to the ETF's net assets had the Canadian dollar strengthened or weakened by 5% relative to all foreign currencies, all other variables held constant. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to currency risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts including forward currency contracts. Other financial assets and liabilities (including dividends and interest receivable, and receivables/payables for investments sold/purchased) that are denominated in foreign currencies do not expose the ETF to significant currency risk.

(d) Interest rate risk

Interest rate risk arises on interest-bearing financial instruments. The ETF is exposed to the risk that the value of interest-bearing financial instruments will fluctuate due to changes in the prevailing levels of market interest rates. Generally, these securities increase in value when interest rates fall and decrease in value when interest rates rise.

If significant, Note 11 summarizes the ETF's interest-bearing financial instruments by remaining term to maturity and illustrates the potential impact to the ETF's net assets had prevailing interest rates increased or decreased by 1%, assuming a parallel shift in the yield curve, all other variables held constant. The ETF's sensitivity to interest rate changes was estimated using weighted average duration. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to interest rate risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts. Cash and cash equivalents and other money market instruments are short term in nature and are not generally subject to significant amounts of interest rate risk.

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9. Financial Instruments Risk (cont'd)

(e) Other price risk

Other price risk is the risk that the value of financial instruments will fluctuate as a result of changes in market prices (other than those arising from interest rate risk or currency risk), whether caused by factors specific to an individual investment, its issuer, or all factors affecting all instruments traded in a market or market segment. All investments present a risk of loss of capital. This risk is managed through a careful selection of investments and other financial instruments within the parameters of the investment strategies. Except for certain derivative contracts, the maximum risk resulting from financial instruments is equivalent to their fair value. The maximum risk of loss on certain derivative contracts such as forwards, swaps, and futures contracts is equal to their notional values. In the case of written call (put) options and short futures contracts, the loss to the ETF continues to increase, theoretically without limit, as the fair value of the underlying interest increases (decreases). However, these instruments are generally used within the overall investment management process to manage the risk from the underlying investments and do not typically increase the overall risk of loss to the ETF. This risk is mitigated by ensuring that the ETF holds a combination of the underlying interest, cash cover and/or margin that is equal to or greater than the value of the derivative contract.

Other price risk typically arises from exposure to equity and commodity securities. If significant, Note 11 illustrates the potential increase or decrease in the ETF's net assets, had the prices on the respective exchanges for these securities increased or decreased by 10%, all other variables held constant. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to other price risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts.

(f) Credit risk

Credit risk is the risk that a counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the ETF. Note 11 summarizes the ETF's exposure, if applicable and significant, to credit risk.

If presented, credit ratings and rating categories are based on ratings issued by a designated rating organization. Indirect exposure to credit risk may arise from fixed-income securities, such as bonds, held by underlying ETFs, if any. The fair value of debt securities includes consideration of the creditworthiness of the debt issuer.

To minimize the possibility of settlement default, securities are exchanged for payment simultaneously, where market practices permit, through the facilities of a central depository and/or clearing agency where customary.

The carrying amount of investments and other assets represents the maximum credit risk exposure as at the date of the *Statement of Financial Position*. The ETF may enter into securities lending transactions with counterparties and it may also be exposed to credit risk from the counterparties to the derivative instruments it may use. Credit risk associated with these transactions is considered minimal as all counterparties have a rating equivalent to a designated rating organization's credit rating of not less than A-1 (low) on their short-term debt and of A on their long-term debt, as applicable.

(g) Underlying ETFs

The ETF may invest in underlying ETFs and may be indirectly exposed to currency risk, interest rate risk, other price risk and credit risk from fluctuations in the value of financial instruments held by the underlying ETFs. Note 11 summarizes the ETF's exposure, if applicable and significant, to these risks from underlying ETF.

10. Other Information

Abbreviations

Foreign currencies, if any, are presented in these financial statements using the following abbreviated currency codes:

Currency Code	Description	Currency Code	Description	Currency Code	Description
AUD	Australian dollars	HUF	Hungarian forint	PLN	Polish zloty
AED	United Arab Emirates Dirham	IDR	Indonesian rupiah	QAR	Qatar Rial
BRL	Brazilian real	ILS	Israeli shekel	RON	Romanian leu
CAD	Canadian dollars	INR	Indian rupee	RUB	Russian ruble
CHF	Swiss franc	JPY	Japanese yen	SAR	Saudi riyal
CZK	Czech koruna	KOR	South Korean won	SEK	Swedish krona
CLP	Chilean peso	MXN	Mexican peso	SGD	Singapore dollars
CNY	Chinese yuan	MYR	Malaysian ringgit	THB	Thailand baht
COP	Colombian peso	NGN	Nigerian naira	TRL	Turkish lira
DKK	Danish krone	NOK	Norwegian krona	USD	United States dollars
EGP	Egyptian pound	NTD	New Taiwan dollar	VND	Vietnamese dong
EUR	Euro	NZD	New Zealand dollars	ZAR	South African rand
GBP	United Kingdom pounds	PEN	Peruvian nuevo sol	ZMW	Zambian kwacha
GHS	Ghana Cedi	PHP	Philippine peso		
HKD	Hong Kong dollars	PKR	Pakistani rupee		

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NOTES TO FINANCIAL STATEMENTS

11. ETF Specific Information (in '000, except for (a) i.)

(a) i. ETF Formation and Series Information

Date of Formation: January 9, 2018

The ETF may issue an unlimited number of units. The number of issued and outstanding units is disclosed in Note 11 (a) ii.

CAD Units were listed on the TSX under the symbol QSB on January 29, 2018. The closing market price, or the midpoint of the bid and ask prices in the absence of a closing market price, at March 31, 2026 was \$99.65 (2025 – \$100.27).

The management fee rate for CAD Units is 0.08%.

As at March 31, 2026, the ETF's NAV per unit was \$99.64 (2025 – \$100.29) and its Net Assets per unit calculated in accordance with IFRS was \$99.64 (2025 – \$100.29).

ii. Unit Transactions and Outstanding Units

	March 31, 2026						March 31, 2025					
	Units Outstanding – Beginning of Period	Issued	Issued on Merger	Reinvested Distributions	Redeemed	Units Outstanding – End of Period	Units Outstanding – Beginning of Period	Issued	Issued on Merger	Reinvested Distributions	Redeemed	Units Outstanding – End of Period
CAD Units	380	240	–	–	(100)	520	360	20	–	–	–	380

In-Kind Transactions

The portion of proceeds from units issued and payments on redemption of units that are settled with baskets of securities are referred to as in-kind transactions. In accordance with IAS 7, these in-kind transactions are excluded from proceeds from units issued, payments on redemption of units, purchases of investments and proceeds from sale and maturity of investments, within the *Statement of Cash Flows*. The table below presents the amounts of such in-kind transactions during the period.

Unit Transactions	In-Kind Transactions	In \$ 000	
		March 31, 2026	March 31, 2025
Proceeds from units issued	Value of securities received	17,434	1,943
Payments on redemption of units	Value of securities delivered	7,935	–

(b) Tax Loss Carryforwards

Total Capital Loss \$	Total Non-Capital Loss \$	Expiration Date of Non-Capital Losses													
		2032 \$	2033 \$	2034 \$	2035 \$	2036 \$	2037 \$	2038 \$	2039 \$	2040 \$	2041 \$	2042 \$	2043 \$	2044 \$	2045 \$
11,007	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–

(c) Securities Lending

	March 31, 2026		March 31, 2025	
	(\$)	(%)	(\$)	(%)
Value of securities loaned	5,267		6,402	
Value of collateral received	5,539		6,744	

	March 31, 2026		March 31, 2025	
	(\$)	(%)	(\$)	(%)
Gross securities lending income	7	100.0	7	100.0
Tax withheld	–	–	–	–
	7	100.0	7	100.0
Payments to securities lending agent	(1)	(14.3)	(1)	(14.3)
Securities lending income	6	85.7	6	85.7

(d) Commissions

For the periods ended March 31, 2026 and 2025, commissions paid by the ETF did not generate any third-party services that were provided or paid for by brokers.

(e) Risks Associated with Financial Instruments

i. Risk exposure and management

The ETF seeks to replicate, to the extent reasonably possible and before fees and expenses, the performance of the Solactive Canadian Short Term Bond Index, or any successor thereto. It invests primarily in Canadian investment grade bonds.

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11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(e) Risks Associated with Financial Instruments (cont'd)

ii. Currency risk

As at March 31, 2026 and 2025, the ETF did not have a significant exposure to currency risk.

iii. Interest rate risk

The tables below summarize the ETF's exposure to interest rate risks from its investments in bonds by term to maturity.

	Bonds (\$)	Derivative Instruments (\$)	Impact on net assets			
			Increase by 1%		Decrease by 1%	
March 31, 2026			(\$)	(%)	(\$)	(%)
Less than 1 year	1,563	681				
1-5 years	46,043	—				
5-10 years	3,959	—				
Greater than 10 years	—	—				
Total	51,565	681				
Total sensitivity to interest rate changes			(1,431)	(2.8)	1,431	2.8

	Bonds (\$)	Derivative Instruments (\$)	Impact on net assets			
			Increase by 1%		Decrease by 1%	
March 31, 2025			(\$)	(%)	(\$)	(%)
Less than 1 year	3,255	580				
1-5 years	33,292	—				
5-10 years	1,156	—				
Greater than 10 years	—	—				
Total	37,703	580				
Total sensitivity to interest rate changes			(963)	(2.5)	963	2.5

iv. Other price risk

As at March 31, 2026 and 2025, the ETF did not have a significant exposure to other price risk.

v. Credit risk

The ETF's greatest concentration of credit risk is in debt securities, such as bonds. The fair value of debt securities includes consideration of the creditworthiness of the debt issuer. The maximum exposure to any one debt issuer as at March 31, 2026, was 40.1% (2025 – 40.5%) of the net assets of the ETF.

As at March 31, 2026 and 2025, debt securities by credit rating are as follows:

Bond Rating*	March 31, 2026	March 31, 2025
	% of Net Assets	% of Net Assets
AAA	43.7	44.5
AA	9.5	17.2
A	23.5	16.1
BBB	13.0	12.0
Less than BBB	—	0.2
Unrated	9.8	8.9
Total	99.5	98.9

* Credit ratings and rating categories are based on ratings issued by a designated rating organization.

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11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(f) Fair Value Classification

The table below summarizes the fair value of the ETF's financial instruments using the fair value hierarchy described in note 3.

	March 31, 2026				March 31, 2025			
	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)
Bonds	–	51,565	–	51,565	–	37,703	–	37,703
Derivative assets	–	–	–	–	2	–	–	2
Derivative liabilities	(9)	–	–	(9)	–	–	–	–
Total	(9)	51,565	–	51,556	2	37,703	–	37,705

The ETF's policy is to recognize transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

During the periods, there were no significant transfers between Level 1 and Level 2.

(g) Investments by the Manager and Affiliates

The investments held by the Manager, other funds managed by the Manager, and funds managed by affiliates of the Manager were as follows:

	March 31, 2026	March 31, 2025
	(\$)	(\$)
The Manager	–	–
Other funds managed by the Manager	1,524	2,340
Funds managed by affiliates of the Manager	20,630	12,351

(h) Offsetting of Financial Assets and Liabilities

	March 31, 2026					
	Gross amount of recognized financial assets/liabilities (\$)	Amounts offset in Statement of Financial Position (\$)	Net amounts presented in the Statement of Financial Position (\$)	Related amounts not offset in net amounts in Statement of Financial Position		
				Financial instruments (\$)		
				Financial instruments (\$)	Margin (\$)	Net amount (\$)
Unrealized gains on derivatives	–	–	–	–	–	–
Unrealized losses on derivatives	(9)	–	(9)	–	80	71
Liability for options written	–	–	–	–	–	–
Total	(9)	–	(9)	–	80	71

	March 31, 2025			
	Gross amount of assets/liabilities (\$)	Amount available for offset (\$)	Margin (\$)	Net amount (\$)
Unrealized gains on derivative contracts	2	–	79	81
Unrealized losses on derivative contracts	–	–	–	–
Liability for options written	–	–	–	–
Total	2	–	79	81

(i) Interest in Unconsolidated Structured Entities

As at March 31, 2026 and 2025, the ETF had no investments in Underlying Funds.